

Addendum to Contract for Residential Sale and Purchase



1 If initialed by all parties, the terms below will be incorporated into the Contract for Residential Sale and Purchase
2* between _____ ("Seller")
3* and _____ ("Buyer")
4* concerning the Property described as _____
5* _____

6* (_____) (_____) - (_____) (_____) **H. FHA Financing:** (Buyer will be referred to as "purchaser" in the following
7 statement.) "It is expressly agreed that notwithstanding any other provisions of this contract, the purchaser shall not
8 be obligated to complete the purchase of the property described herein or to incur any penalty by forfeiture of earnest
9 money deposits or otherwise unless the purchaser has been given in accordance with HUD/FHA or VA requirements
10 a written statement by the Federal Housing Commissioner, Department of Veterans Affairs, or a Direct Endorsement
11* lender setting forth the appraised value of the property of not less than \$ _____. The purchaser shall
12 have the privilege and option of proceeding with consummation of the contract without regard to the amount of the
13 appraised valuation. The appraised valuation is arrived at to determine the maximum mortgage the Department of
14 Housing and Urban Development will insure. HUD does not warrant the value nor the condition of the property. The
15 purchaser should satisfy himself/herself that the price and condition of the property are acceptable."

16 If **Buyer** elects to proceed with this Contract without regard to the amount of reasonable value established by the
17 Federal Housing Commissioner, U.S. Department of Veterans Affairs, or Direct Endorsement lender, such election
18 must be made in writing within 3 days after **Buyer's** receipt of the appraisal.

19 **1. Fees; Prepayments:** **Seller** will pay all required fees under FHA regulations up to a maximum cost of
20* \$ _____ (\$250.00 if left blank).

21 **2. Repairs:** If a lender, as a result of the FHA appraisal, requires repairs to items not otherwise covered under this
22* Contract, **Seller** will make required repairs up to a maximum cost to **Seller** of \$ _____ (\$500.00 if left
23 blank). Required repairs to warranted items are subject to the Repair Limit defined in this Contract. If the cost
24 of repairs to warranted or unwarranted items exceeds the respective limits, **Seller** will, within 3 days after
25 receiving notice of the excess cost, deliver to **Buyer** written notice of **Seller's** intent to pay some, all, or none of
26 the excess amount. If **Seller** pays less than the full amount of the excess cost, **Buyer** may pay the balance
27 or cancel this Contract. **Buyer's** election must be in writing and provided to **Seller** within 3 days after receipt of
28 **Seller's** notice.

29 **3. FHA Certification:** We, the **Seller**, **Buyer**, and the selling real estate licensee involved in this transaction,
30 each certify that the terms and conditions of the sales contract are true, to the best of our knowledge and belief,
31 and that any other agreement entered into by any parties in connection with this real estate transaction is part of or
32 attached to this Contract.

33*	_____	_____	_____	_____
34	Buyer	Date	Seller	Date
35*	_____	_____	_____	_____
36	Buyer	Date	Seller	Date
37*	_____	_____	_____	_____
38	Selling Licensee signature	Date	Listing Licensee signature	Date